Kestrel Property Valuations

Property valuation and advisory

Riverside Commons
As If Complete Valuation

Market value on completion of a 162 unit apartment project at 9 Marquet Lane, Rhodes NSW 213

Prepared for the proposed senior lender, via Brannock Sutherland Lawyers

Version 1.0, final for credit

Report date 11 June 2026

Kestrel Property Valuations

Reference: KPV-VAL-2026-0611-RC

Date: 11 June 2026

Synthetic - for demonstration. All names, entities and figures are fictional.

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Borrower	Riverside Commons Pty Ltd
ABN	91 014 685 765
Sponsor	Kaiyo Living Group Pty Ltd (trading as Kaiyo Living)
Property	9 Marquet Lane, Rhodes NSW 2138
Registered office	Level 4, 12 Walker Street, Rhodes NSW 2138
Local government area	City of Canada Bay
Report date	11 June 2026
Version	1.0
Prepared by	Kestrel Property Valuations
Prepared for	Proposed senior lender (A$118.0M construction facility)

Report details

1. Executive summary

Kestrel Property Valuations has been instructed to assess the market value of the Riverside Commons development on an as-if-complete basis and to assess the market value of the site on an as-is basis. The project is a 162 apartment development in two buildings of 11 and 14 storeys above a shared basement of 214 car spaces, with 15,640 sqm of gross floor area and 12,050 sqm of net saleable area.

We have assessed the as-if-complete gross realisation value (GRV) at A$214.0M, or A$17,759 per sqm of net saleable area and an average of A$1.32M per apartment. We have assessed the as-is market value of the land at A$34.5M, which is A$1.9M below the A$36.4M cost to the borrower including stamp duty and acquisition costs.

Our GRV is A$14.0M, or 6.5%, below the A$228.0M in the sponsor's information memorandum dated 10 February 2026. The information memorandum figure implies A$18,921 per sqm, which is 8.9% above the average rate of the Rhodes sales evidence we have relied on and is not supported by any transaction we have identified. Our conclusion corresponds with the A$214.0M reached by Harcourt Lyle Valuers Pty Ltd in its report dated 5 March 2026, which we reviewed after forming our own view.

Measure	Kestrel value	Reference
As-is value of land	A$34.5M	A$2,206 per sqm GFA
As-if-complete GRV	A$214.0M	A$17,759 per sqm NSA
Average value per unit	A$1.32M	162 units
Sponsor IM GRV	A$228.0M	A$18,921 per sqm NSA
Total development cost (TDC)	A$171.6M	Funding model, cost per QS
Margin on cost at our GRV	24.7%	GRV less TDC, over TDC
Facility limit to GRV	55.1%	A$118.0M over A$214.0M

Table 1: Valuation summary

The sponsor's other headline assumptions are also more favourable than the independent evidence. The independent quantity surveyor, Dunmore Fraser Quantity Surveyors Pty Ltd, assesses construction cost at A$98.4M against the A$91.2M contract sum, and a 28 month construction period against 24 months. We have adopted the quantity surveyor's cost and programme in our feasibility cross-check, and we regard them as the more prudent basis for lending.

2. Instructions and basis of valuation

We were instructed to provide a market valuation suitable for credit assessment of a proposed senior secured construction facility to Riverside Commons Pty Ltd with a limit of A$118.0M and a tenor of 36 months. Our valuation date is 5 June 2026, the date of our last site inspection. The report date is 11 June 2026.

Market value is the estimated amount for which an asset should exchange on the valuation date between a willing buyer and a willing seller in an arm's length transaction, after proper marketing, where the parties acted knowledgeably, prudently and without compulsion. The as-if-complete value assumes the project is completed in accordance with the approved plans and the building contract, in a standard consistent with the specification schedule, and is valued at today's market levels with no allowance for price growth over the construction period. All values are stated exclusive of GST.

The valuation has been prepared in accordance with the Australian Property Institute standards and the International Valuation Standards. We have relied on the following documents.

- Information memorandum dated 10 February 2026 and financial statements dated 20 February 2026, audited by Pellett & Wynn Chartered Accountants.
- Harcourt Lyle Valuers Pty Ltd valuation dated 5 March 2026.
- Dunmore Fraser Quantity Surveyors Pty Ltd report dated 12 March 2026.
- Management accounts dated 15 April 2026 and the indicative term sheet dated 6 May 2026.
- Development consent granted on 20 March 2025, the fixed price design and construct contract with Tallowood Construction Pty Ltd, and the sales schedule prepared by Bellamy & Roe Projects Pty Ltd.

We have not received an updated sales schedule since the position at 31 January 2026. Our comments on presales therefore relate to that date.

3. The property and the project

3.1 Site and approval

The site at 9 Marquet Lane, Rhodes lies on the southern bank of the Parramatta River within the City of Canada Bay local government area. Riverside Commons Pty Ltd settled the purchase on 14 August 2024 for A$34.2M, or A$36.4M including stamp duty and costs. The purchase was funded by sponsor equity and an A$18.0M land loan from a mid-tier bank. Development consent for 162 apartments in two buildings above a shared basement was granted on 20 March 2025. The site is close to the river and to a former industrial precinct, and we address the related flood, groundwater and contamination considerations in section 9.

3.2 Building and apartment mix

The project comprises 15,640 sqm of gross floor area and 12,050 sqm of net saleable area. Net saleable area is measured as internal area plus balconies and terraces. The mix is weighted to one and two bedroom apartments, which is typical of the Rhodes market and suits both owner occupiers and investors.

Type	Units	Avg NSA (sqm)	Rate (A$/sqm)	Value (A$M)
One bedroom	55	54.0	18,100	53.8
Two bedroom	80	77.1	17,700	109.1
Three bedroom	27	108.0	17,540	51.1
Total	**162**	**74.4**	**17,759**	**214.0**

Table 2: Apartment mix and as-if-complete value by type

Values by type are the product of total net saleable area for each type and the adopted rate. Smaller apartments achieve a modest premium per sqm, consistent with the evidence, and three bedroom apartments carry the lowest rate per sqm but the highest absolute price. The weighted average rate of A$17,759 per sqm reconciles to the A$214.0M total.

3.3 Sales position

The campaign launched on 8 September 2025 with an on-site display suite and a sales agency appointment. At 31 January 2026, 94 of 162 units (58%) had exchanged with a combined contract value of A$123.6M, an average of A$1.32M per unit. Deposits of 10% (A$12.4M) are held in the sales agent's trust account. The 68 unsold units have an assessed value of A$90.4M, or A$1.33M on average.

The average price of the exchanged units is within 0.5% of our average across all 162 units, so the presales do not appear to have been struck at a level materially below our assessment. They also do not support the sponsor's higher figure: to reach A$228.0M the 68 unsold units would need to achieve about A$1.54M each on average, a 16% premium to the units already sold.

4. Location and market

Rhodes is a peninsula suburb on the Parramatta River with a railway station, a retail centre and waterfront open space. Its apartment stock is largely high density and was delivered over the past two decades, with a further wave of towers completed or under construction. Wentworth Point lies across the water and, with Olympic Park nearby, has absorbed substantial new supply, which has kept pricing there below Rhodes. Parramatta is a larger commercial centre with deep apartment supply, a wide range of price points and lower rates per sqm than either peninsula.

Rhodes attracts a mix of owner occupiers, downsizers and investors. Demand is sensitive to mortgage serviceability and to the valuation practices of purchasers' lenders. A proportion of buyers in recent years have been investors who need finance, which is why we treat settlement valuation risk as a primary concern for this project. Because the 214 car space basement supports a ratio of about 1.3 spaces per apartment, parking should not be a constraint on resale, but it does add to cost.

5. Apartment sales evidence

We have assembled recent arm's length sales of apartments of comparable type, age and quality in Rhodes, Wentworth Point and Parramatta, drawn from settled and exchanged transactions between October 2025 and March 2026 and verified with selling agents where possible. We have given most weight to the Rhodes sales because of location, outlook and buyer profile, and used the other two markets to test the range and to indicate the discount that applies away from the Rhodes peninsula.

Property	Sale date	Type, NSA	Price (A$)	A$/sqm
Millers Wharf, Rhodes	Nov 2025	2 bed, 84 sqm	1,445,000	17,202
Ironbark Tower, Rhodes	Feb 2026	2 bed, 81 sqm	1,380,000	17,037
Millers Wharf, Rhodes	Jan 2026	1 bed, 56 sqm	985,000	17,589
Ironbark Tower, Rhodes	Dec 2025	3 bed, 112 sqm	1,980,000	17,679
Hamlet Quay, Wentworth Point	Oct 2025	2 bed, 83 sqm	1,260,000	15,181
Peninsula Green, Wentworth Point	Mar 2026	3 bed, 108 sqm	1,640,000	15,185
Peninsula Green, Wentworth Point	Jan 2026	1 bed, 54 sqm	860,000	15,926
Cordage House, Parramatta	Nov 2025	2 bed, 79 sqm	1,085,000	13,734
Eastbank, Parramatta	Feb 2026	2 bed, 85 sqm	1,190,000	14,000
Eastbank, Parramatta	Dec 2025	3 bed, 105 sqm	1,520,000	14,476

Table 3: Apartment sales evidence, October 2025 to March 2026

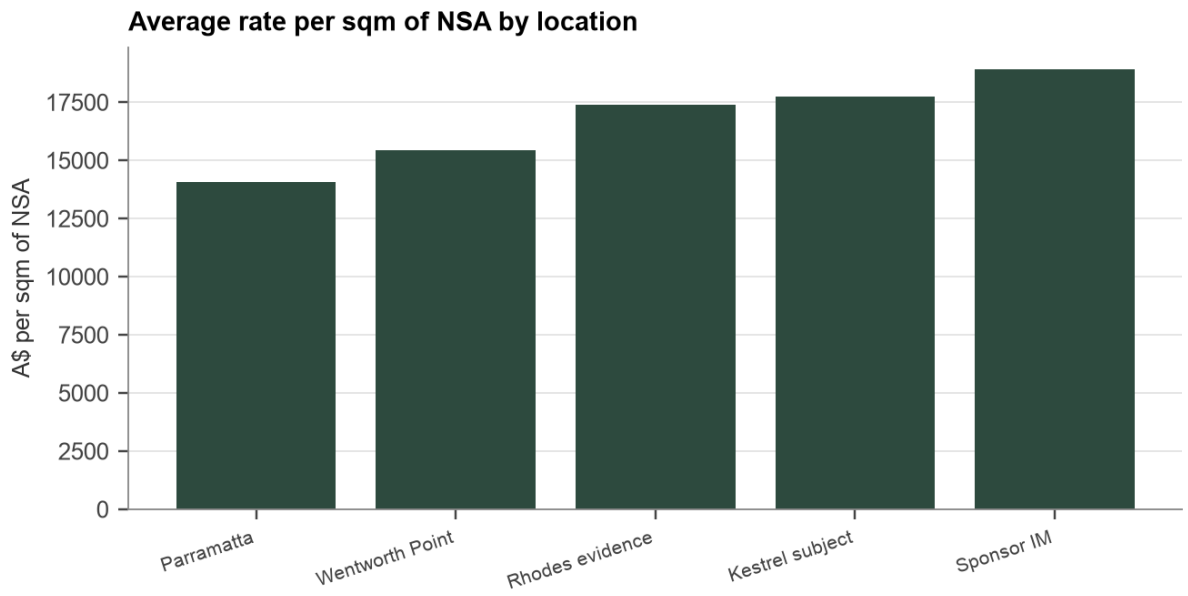


Figure 1: Average sales evidence rates against the Kestrel and sponsor IM rates for the subject

5.1 Analysis

The four Rhodes sales range from A$17,037 to A$17,679 per sqm and average A$17,377. The three Wentworth Point sales average A$15,431, about 11% below Rhodes, and the three Parramatta sales average A$14,070, about 19% below Rhodes. The consistent tiering supports Rhodes as the relevant market for the subject and shows that the evidence is coherent rather than scattered.

We have adopted A$17,759 per sqm for the project, which is 2.2% above the Rhodes average. That premium reflects the new building, the river outlook from the upper levels of both towers, the modern specification and the absence of strata defect or levy concerns associated with older stock. It is a modest premium and we have not extended it further. The rate implied by the information memorandum is A$18,921 per sqm. It is 6.5% above our rate, 8.9% above the Rhodes average and higher than any individual transaction in the table, including the best Rhodes one-bedroom result at A$17,589.

We note that the comparables are completed or near-complete stock and that the subject will not complete for at least 28 months. We have not applied any market growth for that period. A buyer in 2028 will also compare Riverside Commons with whatever new stock is then on the market in Rhodes, Wentworth Point and Olympic Park, and we regard it as more likely that supply will cap rate growth than that it will deliver the premium assumed in the information memorandum.

6. As-if-complete valuation

6.1 Direct comparison

Our primary approach is direct comparison by apartment type, adjusting the Rhodes evidence for size, level, aspect, outlook and finishes. The results are in Table 2 and total A$214.0M. This is the figure adopted. The value equates to A$1.32M per apartment and A$13,682 per sqm of gross floor area.

6.2 Presales cross-check

The 94 exchanged contracts total A$123.6M. Adding the 68 unsold units at our assessed value of A$90.4M gives A$214.0M, so the contracts and our assessment are internally consistent. Presales cover 104.7% of the facility limit at gross contract value. After selling costs of about 3.0% of GRV, the net proceeds from presales are about A$119.9M, or 1.02 times the limit. The cover is therefore thin on contracted sales alone, and repayment relies on the unsold units as well as on settlement of every presale.

6.3 Development feasibility cross-check

The funding model gives total development cost of A$171.6M. Land and construction represent most of the cost.

Item	A$M	Basis
Land incl. stamp duty and costs	36.4	Settled 14 Aug 2024
Construction	98.4	Dunmore Fraser QS
Professional fees and design	6.2	Funding model
Statutory charges and levies	4.1	Funding model
Selling and marketing	6.4	3.0% of GRV
Finance costs, fees and interest	20.1	Funding model
Total development cost	**171.6**	**Sum of above**

Table 4: Total development cost

At our GRV, the surplus over TDC is A$42.4M, a margin on cost of 24.7%. That is within the range a prudent developer would require for a project of this size, tenor and presales level, but it leaves less room than the sponsor suggests. The funding model's finance line of A$20.1M includes the establishment fee of 1.50% of the limit (A$1.77M), interest capitalised on drawn amounts at 3 month BBSW plus 6.50% per annum and the line fee of 1.25% per annum on undrawn commitment. It will rise if the programme extends beyond 28 months.

A residual land check at a 25% margin on cost, using the quantity surveyor's costs, indicates a land value of about A$36.0M. That supports the as-is value in section 7 as a figure that is not overstated, although we give the residual less weight because it is highly sensitive to cost and margin assumptions.

7. As-is value of the land

The site was acquired in August 2024 for A$34.2M and carries development consent for 162 apartments. We have valued the site by direct comparison with approved apartment sites on a rate per sqm of gross floor area, supported by the residual check above. We assess the as-is market value at A$34.5M, or A$2,206 per sqm of GFA and about A$213,000 per approved unit. The purchase price of A$34.2M equates to A$2,187 per sqm of GFA, so our value is 0.9% above the price paid some 22 months ago. Total acquisition cost including duty and costs was A$36.4M, which is A$1.9M above our value, and the lender should recognise the land at the lower figure when sizing equity credit.

8. Comparison with the sponsor information memorandum

The information memorandum is more optimistic than the independent evidence on all three of the main drivers of the project's return, and each difference runs in the same direction.

Item	Sponsor IM	Independent	Gap
GRV (as if complete)	A$228.0M	A$214.0M	A$14.0M (6.5%)
Implied rate per sqm NSA	A$18,921	A$17,759	A$1,162 (6.5%)
Construction cost	A$91.2M	A$98.4M	A$7.2M (7.9%)
Time to practical completion	24 months	28 months	4 months

Table 5: Sponsor information memorandum against independent figures

The construction figure in the information memorandum is the builder's contract sum. The quantity surveyor's A$98.4M adds provisional sum allowances, contingency and escalation, and we regard it as the realistic cost to complete. The tenor is also relevant: with a 28 month build, only 8 months of the 36 month tenor would remain for completion, certification, strata registration and settlement of all 162 units, against 12 months on the sponsor's programme. This assumes the 36 months run from first drawdown, and a later site start would use more of the tenor.

9. Valuation sensitivity and key considerations

9.1 Sensitivity to GRV

The table shows the effect of changes in GRV on the margin on cost and on the ratio of the facility limit to GRV, holding TDC at A$171.6M. The facility limit is 68.8% of TDC and 55.1% of our GRV.

Scenario	GRV (A$M)	Margin on cost	Limit to GRV
Sponsor IM	228.0	32.9%	51.8%
Kestrel value	214.0	24.7%	55.1%
GRV 5% lower	203.3	18.5%	58.0%
GRV 10% lower	192.6	12.2%	61.3%
GRV 15% lower	181.9	6.0%	64.9%

Table 6: Sensitivity of margin and limit to GRV

GRV would need to fall by 19.8% to A$171.6M before the project failed to recover its cost. A 5% shortfall on the 94 presold units alone, which could arise if purchasers' lenders value units below contract price at settlement, is worth about A$6.2M. The equity of A$53.6M, being TDC less the facility limit, provides the first-loss cushion, but A$29.0M of the cash equity is still to be injected before the first construction draw. Equity contributed to date is A$24.6M and the sponsor has other projects in delivery that compete for liquidity.

9.2 Valuation risks

- Settlement valuations. Purchasers' lenders may value units below contract price, given recent supply in Rhodes, Wentworth Point and Olympic Park. Contract prices averaging A$1.32M are in line with our assessment, but the evidence reached A$17,679 per sqm at best, and a price reduction may be needed on some units.
- Unsold stock. 68 units (42%) remain unsold. Our A$90.4M value for them is reliant on continued demand, and the sales evidence does not support the higher prices implied by the information memorandum.
- Construction cost and builder. Any overrun above A$98.4M falls on sponsor equity. Tallowood Construction Pty Ltd carries a lump sum contract of A$91.2M, and security is limited to bank guarantees of 5% of the contract sum, which is A$4.56M. Builder insolvency is a recurring sector risk in NSW and would delay completion and add cost.
- Programme. Each month beyond 28 adds to capitalised interest and fees and shortens the settlement window.
- Site and environment. The site's proximity to the Parramatta River and a former industrial precinct raises flood planning level, groundwater and residual contamination questions during basement excavation. We have assumed these are covered by the consent conditions and the QS allowances and have not made specific adjustments.

10. Assumptions and qualifications

- We have assumed that the development will be completed substantially in accordance with the approved plans and specification, and that all approvals, including occupation certificates and strata registration, will be obtained without material delay.
- We have assumed good and marketable title, with no encumbrance or easement that would affect value, and have not carried out a title search.
- We have not carried out a structural, geotechnical, environmental or flood investigation and rely on the consultant reports provided to us.
- The sales evidence is as reported by agents and public sources and has been verified to the extent practicable. Sales after 31 January 2026 on the subject have not been reviewed.
- The valuation is not a guarantee of future value. A change in interest rates, lending policy, supply or sentiment may change values materially, and we recommend the valuation be updated if drawdown has not commenced within three months of the report date.
- This report is prepared for the addressee for credit assessment only. We accept no responsibility to any other party.

11. Valuer sign-off

Valuer	Marcus Ellery, Director, Certified Practising Valuer
Reviewed by	Hannah Pruett, Senior Valuer, Kestrel Property Valuations
Valuation date	5 June 2026
Report date	11 June 2026
Reference	KPV-VAL-2026-0611-RC
Conclusion	As-if-complete GRV A$214.0M; as-is land value A$34.5M

Valuer sign-off